Company registration number 01771361 (England and Wales)

# The Huddersfield Town Association Football Club Limited

## Annual report and financial statements

## For the year ended 30 June 2024

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COMPANIES HOUSE

# The Huddersfield Town Association Football Club Limited

## Company information

| | | |
|---|---|---|
| **Directors** | K M Nagle<br>M Thomas<br>R G Campbell | <br><br>(Appointed 15 October 2024) |
| **Company number** | 01771361 | |
| **Registered office** | The John Smith's Stadium<br>Stadium Way<br>Leeds Road<br>Huddersfield<br>West Yorkshire<br>HD1 6PX | |
| **Auditor** | DJH Audit Limited<br>Bates Mill<br>Colne Road<br>Huddersfield<br>HD1 3AG | |

# The Huddersfield Town Association Football Club Limited

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# The Huddersfield Town Association Football Club Limited

## Strategic report

## For the year ended 30 June 2024

The directors present their strategic report of the company and the group for the year ended 30 June 2024.

**Principal activities**
The company's principal activity is unchanged as a professional football club, together with related and ancillary activities. It is also a holding company.

The Club has a 40% investment in Kirklees Stadium Development Limited (KSDL), which controls, operates, manages and develops the John Smith's Stadium and the surrounding 54-acre site. The Club holds an interest in Huddersfield Canalside Limited, which is now non-trading.

**Business Review**
During the year under review the Club competed in the EFL Championship.

At the end of the season the Club finished 23rd in the EFL Championship league table with 45 points, resulting in relegation. The Club will therefore compete in EFL League 1 during the 2024/25 season.

Turnover increased to £18.2m for the year ended 30 June 2024 from £18.1m in the year ended 30 June 2023.

Overall employee costs were £23m (2023 - £21.5m) while football wages continue to be the largest expense for the Club.

Amortisation of player registrations was £2.2m (2023 - £1.3m).

The net profit from the sale of player registrations was £4.4m (2023 - £8.9m).

Loss before tax for the year was £15m (2023 - £6.4m).

The year-end net debt balance consisted of £66.4m (2023 - £50.4m) offset by cash balances of £4.87m (2023 - £4.45m).

**Change of ownership**
On 23rd June 2023 Town FC LLC, registered in the USA acquired 100% of the share capital of The Huddersfield Town Association Football Club Limited. The ultimate beneficial owner of Town FC LLC is Kevin M Nagle.

**Board changes**
David Threlfall Sykes and Ann Hough resigned from the Board during the year.

**Principal risks and uncertainties**

| Risk or uncertainty and potential impact | How we mitigate |
|---|---|
| **Football** | |
| Reduced revenues resulting from relegation down the football pyramid arising from poor on-field performance is the principal business risk. | The Club's resources are focused on putting the best team possible on the field of play. This includes investment in the football squad, team preparation and training ground facilities. |
| This can result from the performance of players, football management, football operations (including player recruitment), performance services and the Board. | The Board and senior football staff are jointly responsible for making key decisions regarding players, staff, facilities and performance services. Regular meetings take place to ensure we deliver the best team possible against an agreed football strategy. |
| Relegation can also fundamentally change the player recruitment strategy, as well as player and staff retention and this is likely to impact on-field performance. | Ongoing improvements and investment in the football operations department act to mitigate this risk. First team contracts include significant contractual reductions in weekly wages on relegation. |
| **People contracting risks** | |
| Relating to players:<br>- player recruitment due diligence<br>- contract terms<br>- resourcing<br>- player trading and injury | The Board ensures that robust processes are in place and are maintained by senior football staff. A clear criterion is in place for the type of management and coaching staff the Club requires now and in the future. |
| Relating to key staff:<br>- football management and sustainability<br>- establishing and maintaining a clear system of play<br>- player development<br>- adding value | The Club has in place a clear playing style and recruitment methodology. The Board is continually reviewing and improving its scouting operation and the modern innovations supporting its player identification process. |
| **Business** | |
| If the group's products, services and pricing do not remain competitive and value for money there is a risk of losing supporters and corporate clients affecting financial performance and viability. | The Board communicates openly with its fans and customers through various media. The Club has been proactive in maintaining affordable ticket prices to build the fan and customer base for the future benefit of the Club. |
| **Operations** | |
| The separation of the operational aspects of the stadium and match-day delivery through KSDL provides operational risk with the Club's fans and corporate customers. The Club has limited control over the match day experience affecting supporter retention, exposing the Club to the financial risk of losing supporters with the associated financial impact. | At least one member of the Club's senior management team attend KSDL Board meetings. The Club is also involved at Events and Commercial panels that contribute to managing the stadium operationally through a documented collaboration agreement. |

| Club | |
|---|---|
| Profit & Sustainability risk leading to non-compliance with the EFL regulations exposes the Club to the risk of fines or transfer embargoes. | The board and finance team are supported by our auditors on an ongoing basis and liaise with the EFL closely to ensure compliance. |
| Non-compliance with the applicable legislation and football regulations including:<br><br>- player contract administration<br>- betting<br>- agents<br>- match fixing<br>- behaviour<br><br>Would expose the Club to reputational damage, penalty points and/or financial penalties. | The company has a player code of conduct in place. |
| Ownership risk due to the Clubs reliance on shareholder funding to subsidise the Club's operation. | The company, its auditors and the EFL obtain annual commitments of funding. |

**Prospects for 2024/25 and beyond**

Relegation to the EFL League 1 at the end of the 2023/24 season was extremely disappointing. The Club is now focused on returning to the EFL Championship as quickly as possible and aims to improve on-field performance through the continued addition of high calibre coaching and support staff and the smart recruitment of quality players over the next several transfer windows.

We will continue to look at ways to improve our match-day experience for all our supporters and guests with the introduction of new amenities and technologies along with the provision of investment to upgrade existing facilities and spaces where needed.

Finally, we will strive to further establish the Club's bond with the town and the wider Kirklees region through the great work of our Supporter Services team. We will continue to support the important work of the Huddersfield Town Foundation; our official charity and we are working hard to invest in the Huddersfield Town Academy for the 24/25 season, providing greater opportunity for the young and aspiring players here in our community.

Since the year end, the club has acquired and disposed of a number of player registrations. The fees paid and loss on disposal from these transactions is £0.54m and £0.24m respectively.

The Board of Directors would like to place on record its thanks to all the players, management, staff, supporters, partners, and stakeholders as we strive to progress.

On behalf of the board

Kevin Nagle

.....

K M Nagle

**Director**

Date: 27/12/2024 .....

# The Huddersfield Town Association Football Club Limited

## Directors' report

## For the year ended 30 June 2024

The directors present their annual report and financial statements for the year ended 30 June 2024.

**Results and dividends**
The results for the year are set out on page 10.

No ordinary dividends were paid. The directors do not recommend payment of a further dividend.

**Directors**
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

| | |
|---|---|
| K M Nagle | |
| M Thomas | |
| R G Campbell | (Appointed 15 October 2024) |
| J A Hough | (Resigned 31 January 2024) |
| D A Threlfall-Sykes | (Resigned 5 February 2024) |

**Financial instruments**
***Financial risk management objectives and policies***
The principal financial instruments of the business comprise trade debtors, trade creditors, bank balances and loan borrowings. The financial risk associated with these instruments is considered minimal.

Rolling cash flow forecasts are maintained to ensure sufficient cash is available to meet day-to-day requirements. Trade debtors are regularly reviewed to minimise the risk of bad debts. The amounts presented in the balance sheet are net of allowances for doubtful debts. Trade creditor and loan borrowings liquidity risk is managed by ensuring sufficient funds are available to meet amounts due.

**Post reporting date events**
Information relating to events since the end of the year is given in the notes to the financial statements.

**Auditor**
The auditors, DJH Audit Limited, are deemed to be reappointed under section 487(2) of the Companies Act 2006.

**Statement of directors' responsibilities**
The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and company, and of the profit or loss of the group for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the group's and company's transactions and disclose with reasonable accuracy at any time the financial position of the group and company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the group and company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

**Disclosure in the Strategic Report**
The following information is not shown in the Report of the Directors as it is shown in the Strategic Report in accordance with S414C(11) of the Companies Act 2006:

- an indication of likely future developments in the business of the group.

**Statement of disclosure to auditor**
So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the group's auditor is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the group's auditor is aware of that information.

**Going concern**
The nature of the group's business is such that there can be considerable unpredictable variation in the timing of cash inflows. The directors have prepared projected cash flow information for the period ending 12 months from the date of signature on the Balance Sheet. Kevin M Nagle has indicated that he intends to continue to support the group by introducing funds where required. On this basis, the directors consider it appropriate to prepare the financial statements on the going concern basis.

On behalf of the board

Kevin Nagle
.....
K M Nagle
**Director**

Date: 27/12/2024 .....

# The Huddersfield Town Association Football Club Limited

## Independent auditor's report

## To the members of The Huddersfield Town Association Football Club Limited

### Opinion

We have audited the financial statements of The Huddersfield Town Association Football Club Limited (the 'parent company') and its subsidiaries (the 'group') for the year ended 30 June 2024 which comprise the group statement of comprehensive income, the group balance sheet, the company balance sheet, the group statement of changes in equity, the company statement of changes in equity, the group statement of cash flows and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the group's and the parent company's affairs as at 30 June 2024 and of the group's loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

### Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the group and parent company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

### Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's and parent company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

### Other information

The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report.

Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

**Opinions on other matters prescribed by the Companies Act 2006**

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

**Matters on which we are required to report by exception**

In the light of the knowledge and understanding of the group and the parent company and their environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

**Responsibilities of directors**

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the parent company or to cease operations, or have no realistic alternative but to do so.

**Auditor's responsibilities for the audit of the financial statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

As part of designing our audit, we determined materiality and assessed the risk of material misstatement in the financial statements, whether due to fraud or error, and then designed and performed audit procedures responsive to those risks. In particular, we looked at where the directors made subjective judgements such as making assumptions on significant accounting estimates.

In identifying and assessing risks of material misstatement in respect of irregularities, including fraud and non-compliance with laws and regulations, our planning procedures included:

- Gaining an understanding of the entity and its environment including the entity's legal and regulatory framework, any fraud indicators and internal control system via both discussions amongst the engagement team and with management;
- Enquiring of management whether there was any known, suspected or alleged fraud;
- Evaluating management's incentives and opportunities for fraudulent manipulation of the financial statements including the risk of override of controls; and
- The engagement partner ensuring that the engagement team collectively had the appropriate competence, capabilities and skills to identify or recognise non-compliance with applicable laws and regulations.

Based on our understanding of the company and its industry, the key laws and regulations we considered included the UK Companies Act and relevant tax legislation.

Audit procedures performed by the engagement team included but were not limited to:

- Evaluating and testing of the operating effectiveness of management's controls designed to prevent and detect irregularities;
- Discussing with management the policies and procedures in place regarding identifying and complying with laws and regulations and whether they were aware of any instances of non-compliance;
- Enquiring of management as to actual and potential litigation and claims;
- Identifying and testing journal entries;
- Agreeing financial statement disclosures to underlying supporting documentation;
- Designing audit procedures to incorporate unpredictability around the nature, timing or extent of our testing; and
- Reviewing and testing the accounting estimates to minimise potential bias.

The primary responsibility for the prevention and detection of irregularities including fraud rests with both those charged with governance and management. There are inherent limitations in the audit procedures described above and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements the less likely we would become aware of such non-compliance. Also, the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, intentional misrepresentations or collusion.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

**Use of our report**

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

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**Karen Borowski FCA (Senior Statutory Auditor)**
**For and on behalf of**
**DJH Audit Limited**
**Accountants**
**Statutory Auditor**


Date: 29/12/2024


Bates Mill
Colne Road
Huddersfield
HD1 3AG

# The Huddersfield Town Association Football Club Limited

## Group statement of comprehensive income

## For the year ended 30 June 2024

| | Notes | 2024<br>£ | 2023<br>as restated<br>£ |
|---|---|---|---|
| **Turnover** | **3** | 18,163,046 | 18,120,141 |
| Cost of sales | | (30,625,844) | (29,086,113) |
| **Gross loss** | | (12,462,798) | (10,965,972) |
| Administrative expenses | | (6,382,551) | (5,026,643) |
| Other operating income | **3** | 1,182,500 | 1,037,500 |
| Profit on sale of players' registrations | **4** | 4,365,581 | 8,884,088 |
| Financing gains | **4** | 38,495 | 1,393,767 |
| **Operating loss** | **5** | (13,258,773) | (4,677,260) |
| Income from participating interests | | (541,010) | (442,600) |
| Other interest receivable and similar income | | 845,153 | 908,999 |
| Interest payable and similar expenses | **8** | (2,046,645) | (2,216,639) |
| **Loss before taxation** | | (15,001,275) | (6,427,500) |
| Tax on loss | **9** | 25,422 | 5,235 |
| **Loss for the financial year** | **25** | (14,975,853) | (6,422,265) |

Loss for the financial year is all attributable to the owners of the parent company.
Total comprehensive income for the year is all attributable to the owners of the parent company.

# The Huddersfield Town Association Football Club Limited

## Group balance sheet

## As at 30 June 2024

| | Notes | 2024 £ | 2024 £ | 2023 as restated £ | 2023 as restated £ |
|---|---|---|---|---|---|
| **Fixed assets** | | | | | |
| Goodwill | **10** | | 2,844 | | 5,950 |
| Other intangible assets | **10** | | 4,928,400 | | 2,274,410 |
| Total intangible assets | | | 4,931,244 | | 2,280,360 |
| Tangible assets | **11** | | 7,313,528 | | 7,441,342 |
| Investments | **12** | | 2,878,304 | | 3,419,314 |
| | | | 15,123,076 | | 13,141,016 |
| **Current assets** | | | | | |
| Stocks | **17** | 341,220 | | 297,632 | |
| Debtors falling due after more than one year | **18** | 6,945,000 | | 8,527,919 | |
| Debtors falling due within one year | **18** | 12,707,064 | | 11,345,758 | |
| Cash at bank and in hand | | 4,867,082 | | 4,448,087 | |
| | | 24,860,366 | | 24,619,396 | |
| **Creditors: amounts falling due within one year** | **19** | (60,811,754) | | (44,249,565) | |
| **Net current liabilities** | | | (35,951,388) | | (19,630,169) |
| **Total assets less current liabilities** | | | (20,828,312) | | (6,489,153) |
| **Creditors: amounts falling due after more than one year** | **20** | | (19,121,672) | | (18,484,978) |
| **Net liabilities** | | | (39,949,984) | | (24,974,131) |
| **Capital and reserves** | | | | | |
| Called up share capital | **23** | | 7,125,000 | | 7,125,000 |
| Share premium account | **24** | | 375,000 | | 375,000 |
| Profit and loss reserves | **25** | | (47,449,984) | | (32,474,131) |
| **Total equity** | | | (39,949,984) | | (24,974,131) |

## Group balance sheet (continued)

## As at 30 June 2024

The financial statements were approved by the board of directors and authorised for issue on ..27/12/2024..... and are signed on its behalf by:



.....

K M Nagle

**Director**

Company registration number 01771361 (England and Wales)

# The Huddersfield Town Association Football Club Limited

## Company balance sheet

## As at 30 June 2024

| | Notes | 2024 £ | 2024 £ | 2023 as restated £ | 2023 as restated £ |
|---|---|---|---|---|---|
| **Fixed assets** | | | | | |
| Intangible assets | **10** | | 4,928,400 | | 2,274,410 |
| Tangible assets | **11** | | 7,313,528 | | 7,441,342 |
| Investments | **12** | | 106,691 | | 106,691 |
| | | | 12,348,619 | | 9,822,443 |
| **Current assets** | | | | | |
| Stocks | **17** | 341,220 | | 297,632 | |
| Debtors falling due after more than one year | **18** | 6,945,000 | | 8,527,919 | |
| Debtors falling due within one year | **18** | 12,707,064 | | 11,345,758 | |
| Cash at bank and in hand | | 4,867,082 | | 4,448,087 | |
| | | 24,860,366 | | 24,619,396 | |
| **Creditors: amounts falling due within one year** | **19** | (60,836,898) | | (44,274,709) | |
| **Net current liabilities** | | | (35,976,532) | | (19,655,313) |
| **Total assets less current liabilities** | | | (23,627,913) | | (9,832,870) |
| **Creditors: amounts falling due after more than one year** | **20** | | (19,121,672) | | (18,484,978) |
| **Net liabilities** | | | (42,749,585) | | (28,317,848) |
| **Capital and reserves** | | | | | |
| Called up share capital | **23** | | 7,125,000 | | 7,125,000 |
| Share premium account | **24** | | 375,000 | | 375,000 |
| Profit and loss reserves | **25** | | (50,249,585) | | (35,817,848) |
| **Total equity** | | | (42,749,585) | | (28,317,848) |

As permitted by s408 Companies Act 2006, the company has not presented its own profit and loss account and related notes. The company's loss for the year was £14,431,737 (2023 - £5,963,553 loss (as restated)).

## Company balance sheet (continued)

## As at 30 June 2024

The financial statements were approved by the board of directors and authorised for issue on 27/12/2024 ..... and are signed on its behalf by:

Kevin Nagle

.....

K M Nagle

**Director**

Company registration number 01771361 (England and Wales)

# The Huddersfield Town Association Football Club Limited

## Group statement of changes in equity

## For the year ended 30 June 2024

| | Share capital | Share premium account | Capital contribution reserve | Profit and loss reserves | Total |
|---|---|---|---|---|---|
| | £ | £ | £ | £ | £ |
| **As restated for the period ended 30 June 2023:** | | | | | |
| **Balance at 1 July 2022** | 7,125,000 | 375,000 | 9,189,317 | (37,655,634) | (20,966,317) |
| **Year ended 30 June 2023:** | | | | | |
| Loss and total comprehensive income | - | - | - | (6,422,265) | (6,422,265) |
| Transfers | - | - | 2,414,451 | - | 2,414,451 |
| Other movements | - | - | (11,603,768) | 11,603,768 | - |
| **Balance at 30 June 2023** | 7,125,000 | 375,000 | - | (32,474,131) | (24,974,131) |
| **Year ended 30 June 2024:** | | | | | |
| Loss and total comprehensive income | - | - | - | (14,975,853) | (14,975,853) |
| **Balance at 30 June 2024** | 7,125,000 | 375,000 | - | (47,449,984) | (39,949,984) |

# The Huddersfield Town Association Football Club Limited

## Company statement of changes in equity

## For the year ended 30 June 2024

| | Share capital | Share premium account | Capital contribution reserve | Profit and loss reserves | Total |
|---|---|---|---|---|---|
| | £ | £ | £ | £ | £ |
| **As restated for the period ended 30 June 2023:** | | | | | |
| **Balance at 1 July 2022** | 7,125,000 | 375,000 | 9,189,317 | (41,458,063) | (24,768,746) |
| **Year ended 30 June 2023:** | | | | | |
| Loss and total comprehensive income for the year | - | - | - | (5,963,553) | (5,963,553) |
| Transfers | - | - | 2,414,451 | - | 2,414,451 |
| Other movements | - | - | (11,603,768) | 11,603,768 | - |
| **Balance at 30 June 2023** | 7,125,000 | 375,000 | - | (35,817,848) | (28,317,848) |
| **Year ended 30 June 2024:** | | | | | |
| Loss and total comprehensive income | - | - | - | (14,431,737) | (14,431,737) |
| **Balance at 30 June 2024** | 7,125,000 | 375,000 | - | (50,249,585) | (42,749,585) |

# The Huddersfield Town Association Football Club Limited

## Group statement of cash flows

## For the year ended 30 June 2024

| | Notes | £ | 2024 £ | £ | 2023 as restated £ |
|---|---|---|---|---|---|
| **Cash flows from operating activities** | | | | | |
| Cash absorbed by operations | 32 | | (16,009,266) | | (12,102,777) |
| Interest received | | | 109,689 | | 41,573 |
| Interest paid | | | (22,300) | | (2,413) |
| Tax paid | | | 136,015 | | 381,906 |
| **Net cash outflow from operating activities** | | | (15,785,862) | | (11,681,711) |
| **Investing activities** | | | | | |
| Purchase of intangible assets | | (3,289,198) | | (2,335,853) | |
| Proceeds from disposal of intangibles | | 6,103,951 | | 7,660,794 | |
| Purchase of tangible fixed assets | | (1,326,659) | | (79,077) | |
| Interest received | | 475,340 | | 564,287 | |
| **Net cash generated from investing activities** | | | 1,963,434 | | 5,810,151 |
| **Financing activities** | | | | | |
| Proceeds from borrowings | | 16,900,000 | | 16,500,000 | |
| Repayment of borrowings | | (2,537,555) | | (7,317,741) | |
| Interest paid | | (121,022) | | (193,030) | |
| **Net cash generated from financing activities** | | | 14,241,423 | | 8,989,229 |
| **Net increase in cash and cash equivalents** | | | 418,995 | | 3,117,669 |
| Cash and cash equivalents at beginning of year | | | 4,448,087 | | 1,330,418 |
| **Cash and cash equivalents at end of year** | | | 4,867,082 | | 4,448,087 |

### 1 Accounting policies

#### 1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

#### 1.2 Basis of consolidation

The consolidated group financial statements consist of the financial statements of the parent company The Huddersfield Town Association Football Club Limited together with all entities controlled by the parent company (its subsidiaries) and the group's share of its interests in joint ventures and associates.

No adjustments are necessary to the financial statements of subsidiaries to bring the accounting policies used into line with those used by other members of the group.

All intra-group transactions, balances and unrealised gains on transactions between group companies are eliminated on consolidation. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

Subsidiaries are consolidated in the group's financial statements from the date that control commences until the date that control ceases.

Entities in which the group holds an interest and which are jointly controlled by the group and one or more other venturers under a contractual arrangement are treated as joint ventures. In the group financial statements, joint ventures are accounted for using the equity method.

#### 1.3 Going concern

The group is reliant on the support of Kevin M Nagle. The nature of the group's business is such that there can be considerable unpredictable variation in the timing of cash inflows. The directors have prepared projected cash flow information for the period ending 12 months from the date of signature on the Balance Sheet. Kevin M Nagle has indicated that he intends to continue to support the group by introducing funds where required via the parent company Town FC LLC. On this basis, the directors consider it appropriate to prepare the financial statements on the going concern basis.

#### 1.4 Turnover

Turnover is measured at the fair value of the consideration received or receivable, net of discounts and value added taxes.

Matchday and associated income is recognised in line with games played. TV & League income is recognised in the accounting period that includes the football season to which the income relates. Season tickets are recognised in the season to which they relate and any sold in advance are deferred. Commercial income is recognised in line with contracted terms. Retail income is recognised at the point of sale to the customer. Lotteries income is recognised in line with the related prize draws.

Other operating income is recognised on activities not included within the normal course of business of the football club and is recognised at the fair value of the consideration received or receivable.

**1 Accounting policies** **(Continued)**

**1.5 Intangible fixed assets - goodwill**

Goodwill represents the excess of the cost of acquisition of a business over the fair value of net assets acquired. It is initially recognised as an asset at cost and is subsequently measured at cost less accumulated amortisation and accumulated impairment losses. Goodwill is considered to have a finite useful life and is amortised on a systematic basis over its expected life, which is 15 years.

**1.6 Intangible fixed assets other than goodwill**

The costs associated with the acquisition of players' registrations or extending their contracts, including agents' fees, are capitalised as intangible fixed assets. These costs are amortised in equal annual instalments and charged to cost of sales expenses in the Group Statement of Comprehensive Income on the following basis:

| | |
|---|---|
| Players' registrations | player contract period |

Where a contract life is renegotiated the unamortised costs, together with the new costs relating to the contract extension, are amortised over the new contract period. Players' registrations are written down for impairment, for example following a career threatening injury, when the carrying amount exceeds the amount recoverable through use or sale.

Under the conditions of certain transfer agreements, further fees will be payable in the event of the players concerned making a certain number of First Team appearances or on the occurrence of certain other specified events. Liabilities in respect of these additional fees are accounted for when it becomes probable that the number of appearances will be achieved or the specified future events will occur.

**1.7 Tangible fixed assets**

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

| | |
|---|---|
| Short leasehold | over lease term |
| Leasehold property | over lease term and 9% and 10% on cost |
| Plant and machinery | 20% on cost |
| Trophies | 25% on cost |
| Fixtures, fittings and computer equipment | 33% on cost and 20% on cost |
| Motor vehicles | 25% on cost |

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is recognised in the profit and loss account.

**1.8 Fixed asset investments**

Equity investments are measured at fair value through profit or loss, except for those equity investments that are not publicly traded and whose fair value cannot otherwise be measured reliably, which are recognised at cost less impairment until a reliable measure of fair value becomes available.

In the parent company financial statements, investments in subsidiaries, associates and jointly controlled entities are initially measured at cost and subsequently measured at cost less any accumulated impairment losses.

A subsidiary is an entity controlled by the group. Control is the power to govern the financial and operating policies of the entity so as to obtain benefits from its activities.

**1 Accounting policies** **(Continued)**

Entities in which the group has a long term interest and shares control under a contractual arrangement are classified as jointly controlled entities.

**1.9 Stocks**

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost comprises direct materials costs incurred in bringing the stocks to their present location and condition.

At each reporting date, an assessment is made for impairment. Any excess of the carrying amount of stocks over its estimated selling price less costs to complete and sell is recognised as an impairment loss in cost of sales. Reversals of impairment losses are also recognised in cost of sales.

**1.10 Cash and cash equivalents**

Cash and cash equivalents are basic financial assets and include cash in hand and deposits held at call with banks.

**1.11 Financial instruments**

The group has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the group's balance sheet when the group becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset and the net amounts presented in the financial statements when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

***Basic financial assets***

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest.

***Other financial assets***

Other financial assets, including investments in equity instruments which are not subsidiaries, associates or joint ventures, are initially measured at fair value, which is normally the transaction price. Such assets are subsequently carried at fair value and the changes in fair value are recognised in profit or loss, except that investments in equity instruments that are not publicly traded and whose fair values cannot be measured reliably are measured at cost less impairment.

**1 Accounting policies** **(Continued)**

***Impairment of financial assets***

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

***Derecognition of financial assets***

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the group transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

***Classification of financial liabilities***

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the group after deducting all of its liabilities.

***Basic financial liabilities***

Basic financial liabilities, including creditors and loans from parent companies, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction.

***Other financial liabilities***

Debt instruments that do not meet the conditions in FRS 102 paragraph 11.9 are subsequently measured at fair value through profit or loss.

***Derecognition of financial liabilities***

Financial liabilities are derecognised when the group's contractual obligations expire or are discharged or cancelled.

**1.12 Taxation**

The tax expense represents the sum of the tax currently payable and deferred tax.

**1 Accounting policies** **(Continued)**

***Current tax***

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the profit and loss account because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

***Deferred tax***

Deferred tax liabilities are generally recognised for all timing differences and deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Such assets and liabilities are not recognised if the timing difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the profit and loss account, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset if, and only if, there is a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

**1.13 Employee benefits**

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

Signing on fees are taken, as part of cost of sales, to the Group Statement of Comprehensive Income in the year in which they are incurred.

**1.14 Retirement benefits**

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

**1.15 Leases**

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease.

**1.16 Foreign exchange**

Assets and liabilities in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are translated into sterling at the rate of exchange ruling at the date of transaction. Exchange differences are taken into account in arriving at the operating result.

**1.17 Company information**

The company is a private company limited by shares and is incorporated in England and Wales, company registration number 01771361. The address of its principal place of business is The John Smith's Stadium, Stadium Way, Leeds Road, Huddersfield, West Yorkshire, HD1 6PX.

## 2 Judgements and key sources of estimation uncertainty

In the application of the group's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

**Critical judgements**

The following judgements (apart from those involving estimates) have had the most significant effect on amounts recognised in the financial statements.

***Joint venture***

The group controls 40% of the share capital of Kirklees Stadium Development Limited. The entity is accounted for as a joint venture due to the terms of the contractual agreement between shareholders.

***Profit on sale of players' registrations***

The profit on sale of players' registrations can have a material impact on the group's financial statements each year. These are disclosed separately on the face of the Group Statement of Comprehensive Income to provide further understanding of the financial performance of the group.

***Loans***

Included within other loans are loans which would be required to be measured at fair value through profit or loss; however, it is deemed that a reliable measure of fair value is not available. The repayments of these loans are conditional on specific events occurring in the future. It is considered that the range of reasonable fair value estimates of these loans is significant, and that the probabilities of the various estimates cannot be reasonably assessed. The loans have therefore been accounted for at discounted cost.

Where the final repayments of loans are conditional on future events occurring the discounting and ageing of these repayments have been based on either the earliest or most likely date that the event could occur.

***Effective interest rate***

The company makes a judgement that the effective interest rate used to discount long term credit arrangements is a market rate of interest.

**2 Judgements and key sources of estimation uncertainty (Continued)**

**Key sources of estimation uncertainty**

The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

***Useful economic lives of tangible assets***

The annual depreciation charge for tangible assets is sensitive to changes in the estimated useful economic lives and residual values of the assets, which are re-assessed annually. They are amended when necessary to reflect current estimates, based on technological advancement, future investments, economic utilisation and the physical condition of the assets.

***Player registrations***

The annual amortisation charge for player registrations is sensitive to changes in the estimated useful economic lives of the assets which are reassessed annually. They are amended where necessary to reflect current estimates based on renewal of player contracts or triggering of extension clauses.

***Impairment of debtors***

The group makes an estimate of the recoverable value of trade and other debtors. When assessing impairment, management considers factors including the ageing profile and recent correspondence with the debtors and historical experience. Impairment losses are recognised in administrative expenses.

***Long term credit arrangements***

The effective interest method is used to measure long term credit arrangements. The financial asset or liability is measured at the present value of future payments discounted at an estimate of a market rate of interest based on the rates paid on other similar debt instruments. The discounting and ageing of some of these repayments has been based on either the earliest or most likely date that a future event could occur.

***Deferred taxation***

The group has significant tax losses available to carry forward against future trading profits. A deferred tax asset has not been recognised in the current year based on forecasts for the coming year.

***Termination benefits***

Termination benefits are recognised when the group has committed to providing them to employees. They are measured at the best estimate required to settle the obligation at the reporting date.

**3 Turnover and other revenue**

| | 2024 | 2023 |
|---|---|---|
| | £ | £ |
| **Turnover analysed by class of business** | | |
| Matchday | 4,121,961 | 3,862,303 |
| TV & League | 9,547,911 | 9,063,734 |
| Other commercial activities | 3,552,446 | 4,203,115 |
| Retail | 940,728 | 990,989 |
| | 18,163,046 | 18,120,141 |

### 3 Turnover and other revenue (Continued)

| | 2024 | 2023 |
|---|---|---|
| | £ | £ |
| **Other revenue** | | |
| Interest receivable and similar income | 845,153 | 908,999 |

The whole of the turnover is attributable to work arising from the running of a professional football club.

All turnover arose in the United Kingdom.

Included within interest receivable and similar income is £109,689 (2023 - £41,573) of other interest and £735,464 (2023 - £867,426) of unwinding of discounting on player sales.

Included within other operating income is £1,037,500 (2023 - £1,037,500) in relation to an insurance claim.

### 4 Exceptional item

| | 2024 | 2023 |
|---|---|---|
| | £ | £ |
| Profit on sale of players' registrations | (4,365,581) | (8,884,088) |
| Financing gains | (38,495) | (1,393,767) |
| | (4,404,076) | (10,277,855) |

The profit on sale of players' registrations includes profits of £4,368,518 (2023 - £9,005,493), losses of £2,937 (2023 - £25,581) and impairments of £Nil (2023 - £95,824).

There is a financing gain of £38,495 arising from changes to the interest rates of an existing loan.

In the prior year, there was a financing gain of £1,013,373 which related to a substantial modification of the terms of an existing loan which resulted in a difference between the carrying amount of the liability and the amount transferred to another party.

There was also a financing gain of £380,394 on new loans negotiated during the prior year with this arising from the difference between the amount loaned and the present value of the loan calculated using an effective interest rate.

### 5 Operating loss

| | 2024 | 2023 |
|---|---|---|
| | £ | £ |
| Operating loss for the year is stated after charging/(crediting): | | |
| Exchange gains | (5,564) | (22,583) |
| Fees payable to the group's auditor for the audit of the group's financial statements | 61,750 | 47,875 |
| Depreciation of owned tangible fixed assets | 1,693,188 | 1,791,386 |
| Amortisation of intangible assets | 2,156,386 | 1,277,150 |
| Impairment of intangible assets | - | 95,299 |
| Operating lease charges | 1,401,786 | 1,249,914 |

### 6 Employees

The average monthly number of persons (including directors) employed by the group and company during the year was:

| | Group | | Company | |
|---|---|---|---|---|
| | 2024 | 2023 | 2024 | 2023 |
| | Number | Number | Number | Number |
| Players | 63 | 77 | 63 | 77 |
| Staff | 166 | 157 | 166 | 157 |
| Total | 229 | 234 | 229 | 234 |

Their aggregate remuneration comprised:

| | Group | | Company | |
|---|---|---|---|---|
| | 2024 | 2023 | 2024 | 2023 |
| | £ | £ | £ | £ |
| Wages and salaries | 20,232,219 | 18,902,760 | 20,232,219 | 18,902,760 |
| Social security costs | 2,623,601 | 2,461,818 | 2,623,601 | 2,461,818 |
| Pension costs | 175,710 | 157,503 | 175,710 | 157,503 |
| | 23,031,530 | 21,522,081 | 23,031,530 | 21,522,081 |

The average number of employees by undertakings that were proportionately consolidated during the year was 340 (2023 - 312).

### 7 Directors' remuneration

| | 2024 | 2023 |
|---|---|---|
| | £ | £ |
| Remuneration for qualifying services | 510,223 | 345,062 |
| Company pension contributions to defined contribution schemes | 19,698 | 11,663 |
| Compensation for loss of office | 103,585 | - |
| | 633,506 | 356,725 |

The number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 3 (2023 - 4).

Remuneration disclosed above includes the following amounts paid to the highest paid director:

| | 2024 | 2023 |
|---|---|---|
| | £ | £ |
| Remuneration for qualifying services | 395,500 | 150,000 |
| Company pension contributions to defined contribution schemes | 15,291 | 4,000 |

### 8 Interest payable and similar expenses

| | 2024 | 2023 |
|---|---|---|
| | £ | £ |
| **Interest on financial liabilities** | | |
| Interest on bank overdrafts and loans | - | 18,384 |
| Other interest on financial liabilities | 2,046,645 | 2,198,255 |
| | 2,046,645 | 2,216,639 |

Other interest on financial liabilities includes £299,902 (2023 - £234,948) of unwinding of discounting on player transactions, £1,717,114 (2023 - £1,954,512) of unwinding discount on loans, £7,329 (2023 - £6,111) of other loan interest and £22,300 (2023 - £2,684) of other interest.

### 9 Taxation

| | 2024 | 2023 |
|---|---|---|
| | £ | £ |
| **Current tax** | | |
| Adjustments in respect of prior periods | (25,422) | (5,235) |

### 9 Taxation (Continued)

The actual credit for the year can be reconciled to the expected credit for the year based on the profit or loss and the standard rate of tax as follows:

| | 2024 | 2023 as restated |
|---|---|---|
| | £ | £ |
| Loss before taxation | (15,001,275) | (6,427,500) |
| Expected tax credit based on the standard rate of corporation tax in the UK of 25.00% (2023: 25.00%) | (3,750,319) | (1,606,875) |
| Tax effect of expenses that are not deductible in determining taxable profit | 120,296 | 1,829,717 |
| Adjustments in respect of prior years | (25,422) | (5,235) |
| Depreciation in excess of capital allowances | 216,054 | 213,598 |
| Tax losses for which no deferred tax is recognised | 3,413,969 | (436,440) |
| Taxation credit | (25,422) | (5,235) |

The group has losses of approximately £66.3m (2023 - £52.7m) available to carry forward against future trading profits. A deferred tax asset of £16.5m (2023 - £13.1m) has not been recognised as it is not deemed prudent given the potential volatility of future financial performance based on the on field results.

From 1 April 2023, the main rate of Corporation Tax increased to 25%. The deferred tax has been calculated on this basis.

### 10 Intangible fixed assets

| Group | Goodwill | Players' registrations | Total |
|---|---|---|---|
| | £ | £ | £ |
| **Cost** | | | |
| At 1 July 2023 | 2,422,227 | 4,284,673 | 6,706,900 |
| Additions | - | 5,255,286 | 5,255,286 |
| Disposals | - | (1,161,352) | (1,161,352) |
| At 30 June 2024 | 2,422,227 | 8,378,607 | 10,800,834 |
| **Amortisation and impairment** | | | |
| At 1 July 2023 | 2,416,277 | 2,010,263 | 4,426,540 |
| Amortisation charged for the year | 3,106 | 2,153,280 | 2,156,386 |
| Disposals | - | (713,336) | (713,336) |
| At 30 June 2024 | 2,419,383 | 3,450,207 | 5,869,590 |

**10 Intangible fixed assets** **(Continued)**

| | | | |
|---|---|---|---|
| **Carrying amount** | | | |
| At 30 June 2024 | 2,844 | 4,928,400 | 4,931,244 |
| At 30 June 2023 | 5,950 | 2,274,410 | 2,280,360 |

| **Company** | **Goodwill** | **Players' registrations** | **Total** |
|---|---|---|---|
| | **£** | **£** | **£** |
| **Cost** | | | |
| At 1 July 2023 | 2,375,640 | 4,284,673 | 6,660,313 |
| Additions | - | 5,255,286 | 5,255,286 |
| Disposals | - | (1,161,352) | (1,161,352) |
| At 30 June 2024 | 2,375,640 | 8,378,607 | 10,754,247 |
| **Amortisation and impairment** | | | |
| At 1 July 2023 | 2,375,640 | 2,010,263 | 4,385,903 |
| Amortisation charged for the year | - | 2,153,280 | 2,153,280 |
| Disposals | - | (713,336) | (713,336) |
| At 30 June 2024 | 2,375,640 | 3,450,207 | 5,825,847 |
| **Carrying amount** | | | |
| At 30 June 2024 | - | 4,928,400 | 4,928,400 |
| At 30 June 2023 | - | 2,274,410 | 2,274,410 |

## 11 Tangible fixed assets

| Group | Short leasehold | Leasehold property | Plant and machinery | Trophies | Fixtures, fittings and computer equipment | Motor vehicles | Total |
|---|---|---|---|---|---|---|---|
| | £ | £ | £ | £ | £ | £ | £ |
| **Cost** | | | | | | | |
| At 1 July 2023 | 650,000 | 15,848,098 | 386,069 | 306,190 | 2,365,703 | 25,950 | 19,582,010 |
| Additions | - | 1,089,345 | - | 6,182 | 469,847 | - | 1,565,374 |
| Disposals | - | - | (386,069) | - | (381,403) | - | (767,472) |
| At 30 June 2024 | 650,000 | 16,937,443 | - | 312,372 | 2,454,147 | 25,950 | 20,379,912 |
| **Depreciation and impairment** | | | | | | | |
| At 1 July 2023 | 429,725 | 8,740,405 | 386,069 | 306,190 | 2,252,329 | 25,950 | 12,140,668 |
| Depreciation charged in the year | 21,667 | 1,562,112 | - | 1,288 | 108,121 | - | 1,693,188 |
| Eliminated in respect of disposals | - | - | (386,069) | - | (381,403) | - | (767,472) |
| At 30 June 2024 | 451,392 | 10,302,517 | - | 307,478 | 1,979,047 | 25,950 | 13,066,384 |
| **Carrying amount** | | | | | | | |
| At 30 June 2024 | 198,608 | 6,634,926 | - | 4,894 | 475,100 | - | 7,313,528 |
| At 30 June 2023 | 220,275 | 7,107,693 | - | - | 113,374 | - | 7,441,342 |

| Company | Short leasehold | Leasehold property | Trophies | Fixtures, fittings and computer equipment | Motor vehicles | Total |
|---|---|---|---|---|---|---|
| | £ | £ | £ | £ | £ | £ |
| **Cost** | | | | | | |
| At 1 July 2023 | 650,000 | 15,848,098 | 306,190 | 2,365,703 | 25,950 | 19,195,941 |
| Additions | - | 1,089,345 | 6,182 | 469,847 | - | 1,565,374 |
| Disposals | - | - | - | (381,403) | - | (381,403) |
| At 30 June 2024 | 650,000 | 16,937,443 | 312,372 | 2,454,147 | 25,950 | 20,379,912 |
| **Depreciation and impairment** | | | | | | |
| At 1 July 2023 | 429,725 | 8,740,405 | 306,190 | 2,252,329 | 25,950 | 11,754,599 |
| Depreciation charged in the year | 21,667 | 1,562,112 | 1,288 | 108,121 | - | 1,693,188 |
| Eliminated in respect of disposals | - | - | - | (381,403) | - | (381,403) |
| At 30 June 2024 | 451,392 | 10,302,517 | 307,478 | 1,979,047 | 25,950 | 13,066,384 |
| **Carrying amount** | | | | | | |
| At 30 June 2024 | 198,608 | 6,634,926 | 4,894 | 475,100 | - | 7,313,528 |
| At 30 June 2023 | 220,275 | 7,107,693 | - | 113,374 | - | 7,441,342 |

**Group and company**
All of the tangible fixed assets are pledged as security against other loans.

## 12 Fixed asset investments

| | Notes | Group 2024 £ | Group 2023 £ | Company 2024 £ | Company 2023 £ |
|---|---|---|---|---|---|
| Investments in subsidiaries | **13** | - | - | 46,688 | 46,688 |
| Investments in joint ventures | **15** | 2,878,302 | 3,419,312 | 60,001 | 60,001 |
| Unlisted investments | | 2 | 2 | 2 | 2 |
| | | 2,878,304 | 3,419,314 | 106,691 | 106,691 |

### 12 Fixed asset investments (Continued)

**Movements in fixed asset investments**

| Group | Shares in joint ventures | Other investments | Total |
|---|---|---|---|
| | £ | £ | £ |
| **Cost or valuation** | | | |
| At 1 July 2023 | 3,419,312 | 2 | 3,419,314 |
| Share of profit/(loss) | (541,010) | - | (541,010) |
| At 30 June 2024 | 2,878,302 | 2 | 2,878,304 |
| **Carrying amount** | | | |
| At 30 June 2024 | 2,878,302 | 2 | 2,878,304 |
| At 30 June 2023 | 3,419,312 | 2 | 3,419,314 |

**Interest in joint venture**

Income from participating interests includes depreciation charges of £289,768 (2023 - £285,788).

**Movements in fixed asset investments**

| Company | Shares in subsidiaries and joint ventures | Other investments | Total |
|---|---|---|---|
| | £ | £ | £ |
| **Cost or valuation** | | | |
| At 1 July 2023 and 30 June 2024 | 106,689 | 2 | 106,691 |
| **Carrying amount** | | | |
| At 30 June 2024 | 106,689 | 2 | 106,691 |
| At 30 June 2023 | 106,689 | 2 | 106,691 |

### 13 Subsidiaries

Details of the company's subsidiaries at 30 June 2024 are as follows:

| Name of undertaking | Registered office | Class of shares held | % Held Direct |
|---|---|---|---|
| Huddersfield Canalside Limited | The John Smith's Stadium, Stadium Way, Leeds Road, Huddersfield, HD1 6PX | A Ordinary | 100.00 |
| | | B Ordinary | 100.00 |

### 13 Subsidiaries (Continued)

The subsidiary is non-trading.

The company also holds 75,000 preference shares of £1 each.

The shareholding in A Ordinary and B Ordinary shares represents 100% of voting rights.

### 14 Associates

Details of associates at 30 June 2024 are as follows:

| Name of undertaking | Registered office | Class of shares held | % Held Direct | % Held Indirect |
|---|---|---|---|---|
| The HDOne Kirklees Limited | Huddersfield Road, Elland, Halifax, England, HX5 9BW | A shares | - | 40 |
| | | B shares | - | - |
| HLD (Huddersfield) Limited | Arncliffe Cottage Back Lane, Arnside, Carnforth, England, LA5 0BS | Ordinary | - | 20 |

The principal activity of The HDOne Kirklees Limited is development of building projects. HLD (Huddersfield) Limited is dormant.

### 15 Joint ventures

Details of joint ventures at 30 June 2024 are as follows:

| Name of undertaking | Registered office | Interest held | % Held Direct | % Held Indirect |
|---|---|---|---|---|
| Kirklees Stadium Development Limited | The John Smith's Stadium, Stadium Way, Leeds Road, Huddersfield, HD1 6PX | Ordinary | 40.00 | - |
| KSDL Land Limited | The John Smith's Stadium, Stadium Way, Leeds Road, Huddersfield, HD1 6PX | Ordinary | - | 40.00 |

The principal activity of Kirklees Stadium Development Limited is running of a sports stadium. The principal activity of KSDL Land Limited is holding an investment property.

Kirklees Stadium Development Limited and KSDL Land Limited have accounting year ends of 31 July 2024. The consolidated accounts only include the results of the joint ventures up to 30 June 2024.

### 16 Financial instruments

Included within other loans are £22.9m (2023 - £25.3m) of loans which would be required to be measured at fair value through profit or loss; however, it is deemed that a reliable measure of fair value is not available. The repayments of these loans are conditional on specific events occurring in the future. It is considered that the range of reasonable fair value estimates of these loans is significant, and that the probabilities of the various estimates cannot be reasonably assessed. The loans have therefore been accounted for at discounted cost and have a carrying value at the year end of £18,458,931 (2023 - £19,094,182).

### 17 Stocks

| | Group | | Company | |
|---|---|---|---|---|
| | 2024 | 2023 | 2024 | 2023 |
| | £ | £ | £ | £ |
| Finished goods and goods for resale | 341,220 | 297,632 | 341,220 | 297,632 |

Finished goods are stated after provisions for impairment of £91,389 (2023 - £89,853).

Consumables, changes in finished goods and provisions for impairment are recognised as a cost of sale. The write-down of stocks to net realisable value amounted to £1,536 (2023 - £18,790 credit).

### 18 Debtors

| | Group | | Company | |
|---|---|---|---|---|
| | 2024 | 2023 as restated | 2024 | 2023 as restated |
| **Amounts falling due within one year:** | £ | £ | £ | £ |
| Trade debtors | 7,110,370 | 5,800,927 | 7,110,370 | 5,800,927 |
| Corporation tax recoverable | - | 110,593 | - | 110,593 |
| Other debtors | 2,479,973 | 2,933,501 | 2,479,973 | 2,933,501 |
| Prepayments and accrued income | 3,116,721 | 2,500,737 | 3,116,721 | 2,500,737 |
| | 12,707,064 | 11,345,758 | 12,707,064 | 11,345,758 |
| **Amounts falling due after more than one year:** | | | | |
| Trade debtors | 6,945,000 | 8,527,919 | 6,945,000 | 8,527,919 |
| **Total debtors** | 19,652,064 | 19,873,677 | 19,652,064 | 19,873,677 |

Trade debtors are stated after provisions for impairment of £26,933 (2023 - £26,933). The bad debt expense recognised in the year is £Nil (2023 - £461,227 gain).

Amounts owed by group undertakings of £Nil (2023 - £Nil) are stated after provision for impairment of £2,253,728 (2023 - £2,253,728).

## 19 Creditors: amounts falling due within one year

| | Notes | Group 2024 £ | 2023 £ | Company 2024 £ | 2023 £ |
|---|---|---|---|---|---|
| Other borrowings | 21 | 49,636,682 | 33,482,005 | 49,636,682 | 33,482,005 |
| Trade creditors | | 4,479,625 | 3,164,714 | 4,479,625 | 3,164,714 |
| Amounts owed to group undertakings | | - | - | 25,144 | 25,144 |
| Other taxation and social security | | 1,500,325 | 1,126,610 | 1,500,325 | 1,126,610 |
| Deferred season ticket income | | 2,236,801 | 2,376,512 | 2,236,801 | 2,376,512 |
| Other creditors | | 362,402 | 68,143 | 362,402 | 68,143 |
| Accruals and deferred income | | 2,595,919 | 4,031,581 | 2,595,919 | 4,031,581 |
| | | 60,811,754 | 44,249,565 | 60,836,898 | 44,274,709 |

Accruals and deferred income include amounts totaling £790,254 (2023 - £1,390,940) relating to termination benefits.

## 20 Creditors: amounts falling due after more than one year

| | Notes | Group 2024 £ | 2023 £ | Company 2024 £ | 2023 £ |
|---|---|---|---|---|---|
| Other borrowings | 21 | 16,781,854 | 16,895,467 | 16,781,854 | 16,895,467 |
| Trade creditors | | 2,016,693 | 943,261 | 2,016,693 | 943,261 |
| Accruals and deferred income | | 323,125 | 646,250 | 323,125 | 646,250 |
| | | 19,121,672 | 18,484,978 | 19,121,672 | 18,484,978 |

## 21 Loans and overdrafts

| | Group 2024 £ | 2023 £ | Company 2024 £ | 2023 £ |
|---|---|---|---|---|
| Loans from parent undertakings | 47,382,651 | 30,482,651 | 47,382,651 | 30,482,651 |
| Other loans | 19,035,885 | 19,894,821 | 19,035,885 | 19,894,821 |
| | 66,418,536 | 50,377,472 | 66,418,536 | 50,377,472 |
| Payable within one year | 49,636,682 | 33,482,005 | 49,636,682 | 33,482,005 |
| Payable after one year | 16,781,854 | 16,895,467 | 16,781,854 | 16,895,467 |

### 21 Loans and overdrafts (Continued)

Amounts shown as due to parent undertakings relate to loans due to Town FC LLC, an entity under the ultimate beneficial ownership of Mr. K Nagle. The loans are non-interest bearing.

Included within other loans are non-interest bearing loans with set repayment terms which have therefore been discounted as financing transactions at 5% plus base rate. This includes an amount of £15.0m, discounted to £12.2m (2023 - £15.0m discounted to £11.1m), where payment is contingent on the event of the Football Club being promoted to the Premier League, if this trigger event is not met then the loan becomes payable to the parent undertaking Town FC LLC. There are a further £7.9m, discounted to £6.2m (2023 - £10.3m discounted to £8.0m), where the final repayments of these loans are conditional on future events occurring. If these trigger events are not met then the loans becomes payable to the parent undertaking Town FC LLC. The discounting and ageing of these repayments have been based on either the earliest or most likely date that the event could occur, all of which has been deemed to be within 5 years.

### 22 Secured debts

**Group and Company**
Included within creditors are other loans of £18,458,931 (2023 - £19,094,182) which are secured.

Of the other loans, £22.9m (2023 - £25.3m) is included within creditors at a discounted value as it has been accounted for as a financing transaction.

The amount of other loans secured at the year end is £22.9m (2023 - £25.3m). These loans are included within creditors at a discounted value of £18,458,931 (2023 - £19,094,182) as they have been accounted for as financing transactions. They are secured by a debenture dated 3 July 2019 which creates a fixed charge over all the tangible fixed assets, investments, bank accounts and debts of the football club and a floating charge over the other assets of the club.

### 23 Share capital

| Group and company | 2024 | 2023 | 2024 | 2023 |
|---|---|---|---|---|
| ***Ordinary share capital*** | **Number** | **Number** | **£** | **£** |
| **Issued and fully paid** | | | | |
| Ordinary 10p shares of 10p each | 69,166,667 | 69,166,667 | 6,916,667 | 6,916,667 |
| Ordinary 5p shares of 5p each | 4,166,666 | 4,166,666 | 208,333 | 208,333 |
| | 73,333,333 | 73,333,333 | 7,125,000 | 7,125,000 |

There are two classes of ordinary shares which hold equal rights. There are no restrictions on the distribution of dividends or the repayment of capital.

### 24 Share premium account

| | Group | | Company | |
|---|---|---|---|---|
| | 2024 | 2023 | 2024 | 2023 |
| | £ | £ | £ | £ |
| At the beginning and end of the year | 375,000 | 375,000 | 375,000 | 375,000 |

Share premium - includes any premiums received on issue of share capital.

### 25 Profit and loss reserves

| | Group | | Company | |
|---|---|---|---|---|
| | 2024 | 2023 as restated | 2024 | 2023 as restated |
| | £ | £ | £ | £ |
| At the beginning of the year | (32,674,131) | (37,655,634) | (36,017,848) | (41,458,063) |
| Prior year adjustment | 200,000 | - | 200,000 | - |
| As restated | (32,474,131) | (37,655,634) | (35,817,848) | (41,458,063) |
| Loss for the year | (14,975,853) | (6,422,265) | (14,431,737) | (5,963,553) |
| Other movements | - | 11,603,768 | - | 11,603,768 |
| At the end of the year | (47,449,984) | (32,474,131) | (50,249,585) | (35,817,848) |

Retained earnings - includes all current and prior period retained profits and losses.

### 26 Contingent Liabilities

**Group and company**
Under the terms of certain contracts for the purchase of players' registrations future payments may be due, dependent on the future success of the team and the future team selection of individual players. As of 30 June 2024 the maximum that could be payable is £4.30m (2023 - £3.56m).

Under the terms of certain player contracts future agent fees may be due if the player is still registered with the Club. As of 30 June 2024 the maximum that could be payable is £0.34m (2023 - £0.45m).

In addition to this future payments may be due relating to sell on clauses to previous clubs dependent on the sale price achieved.

### 27 Operating lease commitments

**Lessee**
At the reporting end date the group had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

| | Group | | Company | |
|---|---|---|---|---|
| | 2024 | 2023 | 2024 | 2023 |
| | £ | £ | £ | £ |
| Within one year | 319,070 | 303,877 | 319,070 | 303,877 |
| Between two and five years | 1,443,995 | 1,375,233 | 1,443,995 | 1,375,233 |
| In over five years | 3,878,320 | 4,266,152 | 3,878,320 | 4,266,152 |
| | 5,641,385 | 5,945,262 | 5,641,385 | 5,945,262 |

## 27 Operating lease commitments (Continued)

**Group and company**
Rent relating to the lease commitments has continued to be waived throughout the year. The value of rent waived during the financial year was £303,877 (2023 - £289,406). There is a formal agreement in place in which the rental lease will continue to be waived, conditional on the basis that amounts included within other loans are repaid in line with the agreement. All amounts have been waived up to the date of signing.

In addition to the above, the group had an annual commitment under a non-cancellable operating lease in respect of the stadium that expires in May 2143. The annual commitment is calculated by reference to the number of spectators at matches and similarly of the other tenant. The amount paid during the year was £1,326,270 (2023 - £1,209,075).

## 28 Events after the reporting date

Following the year end, the Club acquired the player registrations of four players. The fees for these players, excluding future contingent fees, amounts to £537,000.

The Club has disposed of the player registrations of nine players. The loss on disposal arising from these transactions is £239,730.

## 29 Related party transactions

**Remuneration of key management personnel**
The remuneration of key management personnel is as follows.

| | 2024 | 2023 |
|---|---|---|
| | £ | £ |
| Aggregate compensation | 707,410 | 401,900 |

**Other information**
The company has taken advantage of exemption, under the terms of Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland', not to disclose related party transactions with wholly owned subsidiaries within the group.

**Entities with control, joint control or significant influence over the entity**

**Group and company**
During the year, £Nil (2023 - £26,482,651) of other loans were transferred from key management personnel to entities with control over the group.

Further loans of £16,900,000 (2023 - £4,000,000) were received from related parties in the year.

These loans are interest free and repayable on demand and as such are included within other loans due in less than 1 year. The amount due to related parties at the year end is £47,382,651 (2023 - £30,482,651).

### 29 Related party transactions (Continued)

**Entities over which the entity has control, joint control or significant influence**

**Group and company**
During the year, sales were made to related parties of £8,163 (2023 - £21,276). There were also purchases from related parties of £1,679,014 (2023 - £1,564,802) and recharges from related parties of £347,030 (2023 - £319,531).

Loan capital of £28,885 (2023 - £21,349) and interest of £7,327 (2023 - £6,111) was repaid to related parties during the year.

At the year end, there are amounts due from related parties of £1,773,709 (2023 - £721,965) and amounts due to related parties of £102,632 (2023 - £130,180).

**Key management personnel of the entity or its parent (in the aggregate)**

**Group and company**
During the year, £Nil (2023 - £26,482,651) of other loans were transferred to entities with control over the group.

Further loans of £Nil (2023 - £12,500,000) were received from related parties in the year. There were also loan repayments of £Nil (2023 - £5,252,177). The amount due to related parties at the year end is £Nil (2023 - £25,250,000).

In the prior year, there were interest-free loans of £25.3m which were accounted for as financing transactions and discounted at 5% plus base rate. The final repayments of these loans were conditional on future events occurring. The discounting and ageing of these repayments were based on either the earliest or most likely date that the event could occur. The present value of the loans at the prior year end was £19,094,182 with notional interest of £1,954,783 being charged. In the current year these loans are no longer with key management personnel of the entity.

**Other related parties**
Other related parties relate to companies which are significantly influenced by key management personnel.

During the year, there were purchases of £32,500 (2023 - £Nil) from related parties. The amount due to related parties at the year end is £10,833 (2023 - £Nil).

Amounts of £Nil (2023 - £289,406) relating to rental leases were waived by other related parties during the year.

### 30 Controlling party

Kevin M Nagle was deemed the ultimate controlling party at the year end.

### 31 Ultimate parent company

Town FC LLC is regarded by the directors as being the company's ultimate parent company.

Town FC LLC is a company organised in California, USA. The company's registered address is 4370 Town Center Blvd, Suite #230, El Dorado Hills, CA, 95762.

### 32 Cash absorbed by group operations

| | 2024 | 2023 as restated |
|---|---|---|
| | £ | £ |
| Loss for the year after tax | (14,975,853) | (6,422,265) |
| **Adjustments for:** | | |
| Taxation credited | (25,422) | (5,235) |
| Finance costs | 2,046,645 | 2,216,639 |
| Finance income | (304,143) | (466,399) |
| Profit on sale of players less amounts written off | (4,339,180) | (8,884,088) |
| Financing gains | (38,495) | (1,393,767) |
| Amortisation and impairment of intangible assets | 2,156,386 | 1,277,150 |
| Depreciation and impairment of tangible fixed assets | 1,693,188 | 1,791,386 |
| **Movements in working capital:** | | |
| Increase in stocks | (43,588) | (39,847) |
| Increase in debtors | (1,307,378) | (1,393,878) |
| (Decrease)/increase in creditors | (871,426) | 1,217,527 |
| **Cash absorbed by operations** | (16,009,266) | (12,102,777) |

### 33 Analysis of changes in net debt - group

| | 1 July 2023 | Cash flows | Other non-cash changes | 30 June 2024 |
|---|---|---|---|---|
| | £ | £ | £ | £ |
| Cash at bank and in hand | 4,448,087 | 418,995 | - | 4,867,082 |
| Borrowings excluding overdrafts | (50,377,472) | (14,362,445) | (1,678,619) | (66,418,536) |
| | (45,929,385) | (13,943,450) | (1,678,619) | (61,551,454) |

### 34 Cash and cash equivalents

The amounts disclosed on the Consolidated Cash Flow Statement in respect of cash and cash equivalents are in agreement with the amounts disclosed as cash at bank on the Consolidated Balance Sheet.

### 35 Major non-cash transactions

Included within the other non-cash changes in note 33 is £1,717,114 of notional interest charged due to the discounting of debts treated as financing transactions.

Other non-cash changes also includes £38,495 of financing gains, which are detailed in note 4.

### 36 Prior period adjustment

**Reconciliation of changes in equity - group**

| | 1 July 2022 £ | 30 June 2023 £ |
|---|---|---|
| **Adjustments to prior year** | | |
| Restatement of non-company expenses as a debtor | - | 200,000 |
| Equity as previously reported | (20,966,317) | (25,174,131) |
| Equity as adjusted | (20,966,317) | (24,974,131) |
| **Analysis of the effect upon equity** | | |
| Profit and loss reserves | - | 200,000 |

**Reconciliation of changes in loss for the previous financial period**

| | 2023 £ |
|---|---|
| **Adjustments to prior year** | |
| Restatement of non-company expenses as a debtor | 200,000 |
| Loss as previously reported | (6,622,265) |
| Loss as adjusted | (6,422,265) |

**Reconciliation of changes in equity - company**

| | 1 July 2022 £ | 30 June 2023 £ |
|---|---|---|
| **Adjustments to prior year** | | |
| Restatement of non-company expenses as a debtor | - | 200,000 |
| Equity as previously reported | (24,768,746) | (28,517,848) |
| Equity as adjusted | (24,768,746) | (28,317,848) |
| **Analysis of the effect upon equity** | | |
| Profit and loss reserves | - | 200,000 |

**36 Prior period adjustment** **(Continued)**

**Reconciliation of changes in loss for the previous financial period**

| | 2023<br>£ |
|---|---|
| **Adjustments to prior year** | |
| Restatement of non-company expenses as a debtor | 200,000 |
| Loss as previously reported | (6,163,553) |
| Loss as adjusted | (5,963,553) |

**Notes to reconciliation**

The prior period adjustment of £200k relates to the restatement of amounts previously included within expenses which were not company costs. These amounts were reclassified to other debtors.